Consumer Behaviour

Detailed Study Notes

Module 3

Social and Cultural Environment, and Group and Family Influences

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Topics covered in this module

1. Social and Cultural Environment
2. Economic Environment
3. Demographic Environment
4. Cross-Cultural and Socio-Cultural Influences
5. Cultural Relevance to Marketing Decisions
6. Characteristics of Culture
7. Cultural Values
8. Cultural Changes
9. Cross-Cultural Understanding
10. Social Stratification
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13. Family Life Cycle
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1 Social and Cultural Environment

1.1 Meaning

Social and Cultural Environment

The social and cultural environment is the **set of social groups, institutions, customs, values, beliefs and lifestyles** of a society that surrounds a consumer and shapes what the consumer wants, buys and uses.

It is one part of the larger **macro environment** in which every business operates. The macro environment has several parts, and Module 3 looks at the social, cultural, economic and demographic parts as they affect consumers.

1.2 Components of the Social and Cultural Environment

- **Culture and subculture**: shared values, customs, language, symbols.
- **Social class**: ranked groups in society.
- **Reference groups**: groups that guide a person's attitudes and behaviour.
- **Family**: the primary social and buying unit.
- **Social institutions**: religion, education, government, media, and the legal system.
- **Social trends**: changes in lifestyles, attitudes, gender roles and expectations.

1.3 Why Marketers Study It

1. It decides **what is acceptable** to buy and how products may be promoted.
2. It reveals **needs and lifestyle changes** that create new markets.
3. It helps in **segmentation, positioning and communication**.
4. It warns marketers about **social risks** such as offending beliefs.
5. It is essential for entering **new regions and countries**.

1.4 Current Social Trends Affecting Marketing in India

Trend	Marketing effect
Health and wellness awareness	Demand for organic, low-sugar, fitness and wellness products
Rise of working women	Convenience foods, ready-to-cook items, financial products for women
Digital lifestyle	Online shopping, UPI payments, streaming, social-media marketing
Urbanisation	Packaged foods, apartments, ride-hailing, quick delivery
Environmental consciousness	Eco-friendly packaging, electric vehicles, sustainable fashion
Rising aspirations	Premiumisation, branded goods, experiences and travel

2 Economic Environment

Economic Environment

The economic environment consists of the **economic conditions and factors that affect consumers' buying power and spending patterns**, such as income, prices, savings, credit and the state of the economy.

2.1 Key Economic Factors

Factor	Effect on consumer behaviour
Income level	Decides ability to buy. Higher income allows more variety, quality and luxury spending.
Distribution of income	Decides the size of the low, middle and high income markets.
Disposable income	Income left after taxes; used for essentials and savings.
Discretionary income	Income left after taxes *and* essentials; spent on non-essentials such as travel, dining, gadgets.
Savings and wealth	Influence spending on big items and investments.
Price level and inflation	Rising prices reduce real buying power; consumers cut spending or trade down.
Interest rates and credit	Low interest rates and easy EMI encourage buying homes, cars and appliances.
Consumer confidence	Optimism about jobs and income increases spending; fear reduces it.
Employment and wages	Job security supports large and long-term purchases.
Taxes and subsidies	Change the final price and the affordability of products (GST changes).

2.2 Engel's Law

As family income rises, the **share of income spent on food falls**, while the share spent on housing, education, health, leisure and luxuries rises. This shows how spending patterns change as people become richer.

2.3 Business Cycle and Consumer Behaviour

Stage	Typical consumer behaviour and marketing response
Boom (prosperity)	High confidence; more spending on durables and luxuries; marketers launch premium products
Recession	Job fears; consumers save more, cut non-essentials, look for discounts and value; marketers stress value for money, offers and lower prices
Depression	Very low demand; only essentials are bought
Recovery	Confidence slowly returns; pent-up demand is released

2.4 Economic Trends in India

- A **growing middle class** with rising incomes and aspirations.
- Growth of **credit cards, EMIs, buy-now-pay-later** and digital payments.

- **Price-sensitive** mass market alongside a growing premium market.
- **Rural markets** gaining importance for FMCG, mobiles, two-wheelers and finance.
- **Small packs and sachets** for low-income buyers.

2.5 Marketing Implications

- Adjust price, pack size and credit terms to income levels.
- Offer value-for-money products during slow periods.
- Use easy finance schemes for costly durables.
- Watch inflation and interest rate changes when planning prices and promotions.

3 Demographic Environment

Demographics

Demographics is the **statistical study of human populations**: their size, age, gender, family size, income, occupation, education, location and ethnicity. It is easy to measure and is the most common basis of market segmentation.

3.1 Important Demographic Variables

Variable	Meaning	Marketing effect
Population size and growth	Total number of people and the rate of change	Market size, demand for basic goods
Age structure	Share of children, youth, adults, elderly	Youth: fashion, gadgets; elderly: healthcare, retirement plans
Gender	Male and female population and roles	Different products, appeals and media
Household and family size	Number of members per household	Pack sizes, housing, vehicles
Income and occupation	Earning capacity and type of job	Price levels, product quality, media habits
Education	Level of schooling	Taste, product knowledge, complexity of messages
Geography	Urban or rural; region	Distribution, language, product variety
Urbanisation and migration	Movement of people to cities	Housing, transport, convenience products
Marital status	Single, married, divorced, widowed	Different needs and spending

3.2 Generational Cohorts

A **generation** is a group of people born in the same period who grew up with similar experiences and so share some attitudes and buying behaviour.

- **Baby boomers and older**: value stability and savings; prefer traditional channels.

- **Generation X**: balanced, careful buyers; use both traditional and digital channels.
- **Millennials (Gen Y)**: tech-friendly; value experiences, convenience and online reviews.
- **Generation Z**: digital natives; social-media driven; value authenticity, personalisation and purpose.

3.3 Demographic Trends in India

- A **young population** (a large share below 35 years) creates a "demographic dividend".
- Faster **urbanisation** and growth of small cities.
- More **nuclear households** and smaller families.
- Increasing **literacy and education**, and more women in the workforce.
- Ageing of the population in the long term: demand for health and elder care.

Key Points

Demographics tell us **who** the consumers are; psychographics and behaviour tell us **why** they buy. Marketers use both together.

4 Cross-Cultural and Socio-Cultural Influences

4.1 Meaning

Cross-Cultural Consumer Behaviour

Cross-cultural consumer behaviour is the **study of similarities and differences in the buying behaviour of consumers from different cultures or countries**, so that marketers can decide whether to standardise or adapt their offers.

Socio-cultural influences are the combined effects of society (class, groups, family) and culture (values, customs, language) on consumer choices.

4.2 Why Cross-Cultural Study Matters

- **Globalisation**: firms sell in many countries, and consumers meet foreign brands.
- **Migration and diversity**: many countries and cities contain multiple cultures.
- **Digital media** spreads ideas and trends across borders.
- Wrong assumptions about a culture lead to **costly marketing failures**.

4.3 Areas of Cross-Cultural Difference

Area	Differences to watch
Language	Meaning of brand names, slogans, translations
Symbols and colours	White, red, black, numbers and animals carry different meanings in different cultures
Food habits	Vegetarian, halal, spicy or mild tastes
Religion	Festivals, dietary rules, dress, alcohol, finance
Roles of men and women	Who buys and who decides
Family structure	Joint or nuclear; role of elders
Time orientation	Punctual or relaxed attitude to time
Attitude to risk and new products	Early adopters or traditionalists
Business customs	Bargaining, gift-giving, formality

4.4 Frameworks for Comparing Cultures

- **Hofstede's dimensions**: power distance, individualism vs. collectivism, masculinity vs. femininity, uncertainty avoidance, long-term vs. short-term orientation, and indulgence vs. restraint.
- **Hall's context**:
  - *High-context cultures* (India, Japan, Arab countries): much of the meaning is in the setting, tone, gestures and relationships. Ads use symbols and emotion.
  - *Low-context cultures* (USA, Germany): meaning is in explicit words. Ads give direct facts and claims.
- **Time**: *monochronic* cultures do one thing at a time and value schedules; *polychronic* cultures are flexible and do many things together.

4.5 Cross-Cultural Marketing Strategies

Strategy	Meaning	Example
Standardisation (global)	Same product and message in all countries	Products with universal needs and global brand image
Adaptation (local)	Changing the offer for each market	Local flavours, languages, pack sizes
Glocalisation ("think global, act local")	Global brand with local adaptation	A global fast-food chain offering vegetarian menus in India

5 Cultural Relevance to Marketing Decisions

Culture influences every part of the marketing mix. Ignoring culture can lead to failure.

5.1 Culture and the Marketing Mix

Decision	Cultural relevance
Product	Features, taste, design, size and colour must suit local preferences and beliefs (food flavours, clothing styles, religious sensitivities).
Brand name and packaging	Names should have no negative meaning in the local language; colours and symbols on packs should be acceptable.
Price	Attitude to bargaining, to value, and to status pricing varies; price must match income and cultural expectations.
Place (distribution)	Preferred shopping places differ: neighbourhood kirana stores, weekly markets, malls or online.
Promotion	Language, humour, models, music, symbols and appeals must fit the culture. Festival-based offers increase sales.

5.2 Cultural Relevance in Other Decisions

- **Segmentation and targeting**: cultural and subcultural groups form natural segments.
- **Positioning**: the brand image must match cultural values (family, tradition, modernity).
- **Product development**: ideas for new products often come from cultural change.
- **International entry**: decides whether to adapt the product or sell as it is.
- **Ethics and social responsibility**: avoid offending religious or cultural sentiments.

5.3 Examples of Cultural Mistakes and Successes

- Brand names or slogans that translate badly cause embarrassment and loss.
- Using images that offend religious feelings leads to protests and withdrawal of ads.
- Success: global brands adding local menus, local-language packaging and festival offers.
- Success: festival-linked campaigns (Diwali, Eid, Durga Puja) for gifts, sweets, clothing and jewellery.

Exam Tip

Write the cultural relevance for **each P of the marketing mix** with one example each. This structure scores well.

6 Characteristics of Culture

Culture

Culture is the **complex whole of shared knowledge, beliefs, values, customs, language, art and behaviour** that members of a society learn and pass on from one generation to another.

6.1 Main Characteristics

Characteristic	Meaning	Marketing meaning
Learned	Acquired through family, school, religion, media, not inborn	Marketers can teach new habits slowly
Shared	Common to members of the group	Creates market segments
Cumulative	Passed on and added to over generations	Traditions persist; respect them
Dynamic	Changes slowly with time and contact	New trends open new markets
Prescriptive	Sets rules of acceptable behaviour	Decides what products and ads are accepted
Gratifying (need-satisfying)	Meets the needs of members	Products must fit cultural needs
Symbolic	Uses language, signs and symbols to carry meaning	Brand names, colours and logos must be chosen carefully
Integrated	Parts of culture are connected; change in one affects others	A new product may require changes in habits
Mostly unconscious	People follow it without noticing	Cultural differences are noticed only in a new culture

6.2 Elements of Culture

- **Material culture**: products, tools, technology, housing, clothing.
- **Non-material culture**: values, beliefs, customs, rituals, language, art, music, humour.
- **Social organisation**: family, class, groups, institutions.
- **Religion and philosophy**, **education** and **aesthetics** (ideas of beauty and good taste).

6.3 Levels of Culture

- **Supra-national or regional culture**: shared by several countries (Asian, European).
- **National culture**: the culture of a country.
- **Subculture**: regional, religious, language and age groups inside a country.
- **Organisational and group culture**: workplace, community, brand tribes.

7 Cultural Values

Cultural Values

Cultural values are the **widely shared beliefs of a society about what is good, right and desirable**. They are the core of culture and guide what people want and how they behave as consumers.

7.1 Types of Cultural Values

- **Other-oriented values**: how society relates to members, e.g. individual vs. collective, youth vs. age, masculine vs. feminine roles, competition vs. cooperation.
- **Environment-oriented values**: how society relates to its surroundings, e.g. cleanliness, performance vs. status, tradition vs. change, risk-taking vs. security, problem solving vs. fatalism, nature (control or harmony).
- **Self-oriented values**: goals of individual members, e.g. active vs. passive, material vs. non-material, hard work vs. leisure, postponed vs. immediate gratification, sensual pleasure vs. abstinence, humour vs. seriousness.

7.2 Examples of Cultural Values and Their Marketing Effects

Value	Meaning	Marketing effect
Family orientation	Importance of family bonds	Family-centred ads; family packs; joint decisions
Respect for elders and tradition	Honour age and customs	Traditional brands, festival and ritual products
Thrift and saving	Careful use of money	Value, durability, discounts, savings schemes
Status and prestige	Importance of social standing	Luxury, gold, branded goods, visible display
Health and fitness	Concern for well-being	Healthy foods, gyms, wellness products
Convenience and time saving	Preference for ease	Ready-to-eat food, delivery, apps
Individualism	Importance of self-expression	Personalised products and customisation
Environment concern	Care for nature	Eco-friendly, recycled, sustainable products

7.3 Indian Cultural Values

- Strong **family and community ties**; family decides major purchases.
- Importance of **religion, festivals and rituals**.
- **Respect for elders** and for hierarchy.
- High value on **education** and **saving**, especially in gold and property.
- Emphasis on **hospitality** and gifting.
- Growing influence of **modern, individualistic and global** values among urban youth.

7.4 Measuring Cultural Values

- **Content analysis**: studying the themes in ads, folk tales, songs and literature.
- **Consumer fieldwork**: observing and interviewing consumers in their homes and markets (**ethnography**).
- **Value surveys**: Hofstede's dimensions, Rokeach's value survey, VALS, List of Values (LOV).

8 Cultural Changes

Culture is not fixed. It changes slowly, and marketers who notice the change early find new opportunities.

8.1 Causes of Cultural Change

- **Technology**: internet, smartphones, social media, new products.
- **Economic growth**: rising incomes and new aspirations.
- **Education** and exposure to new ideas.
- **Contact with other cultures**: travel, migration, trade, films and OTT platforms.
- **Government policy and law**: reforms, bans, new rules.
- **Natural events and crises**: pandemics, disasters, wars.
- **Media and advertising**: shape tastes and role models.

8.2 Processes of Cultural Change

- **Acculturation**: adopting parts of another culture.
- **Globalisation and cultural diffusion**: spread of ideas and products across borders.
- **Westernisation / modernisation**: adoption of modern lifestyles.
- **Glocalisation**: blending global and local culture.
- **Cultural resistance**: some groups reject change to protect tradition, leading to ethnocentric buying.

8.3 Examples of Cultural Change in India

Change	Marketing effect
Joint to nuclear families	Smaller packs, smaller homes, more independent decisions
Working women	Convenience foods, appliances, safe transport, women's finance
Eating out and online ordering	Growth of restaurants, cloud kitchens and delivery apps
Cash to digital payments	UPI, wallets, e-commerce growth
Saving to spending and credit use	EMI, credit cards, premium products
Casual and Western dress	Growth of casual wear, sportswear, fast fashion
Interest in health and yoga	Wellness products, fitness apps, organic food
Local to global brand exposure	Wider choice, brand consciousness

8.4 Marketing Response to Cultural Change

1. **Scan** the environment for trends (cultural trend analysis).
2. **Develop new products** that fit emerging values.
3. **Reposition** old brands to stay relevant.
4. **Be careful with fast change**: very quick change may meet resistance.
5. Avoid ignoring **traditional customers** while chasing new trends.

9 Cross-Cultural Understanding

9.1 Approach to Understanding Another Culture

1. **Cultural research**: study history, religion, language, customs, economy and politics of the target market.
2. **Field study and observation**: visit homes and stores; interview local consumers; use local researchers.
3. **Compare cultures** using frameworks (Hofstede, Hall).
4. **Test** products, names and ads with local consumers before launch.
5. **Appoint local managers and agencies** who know the market.

9.2 Self-Reference Criterion and Ethnocentrism

- **Self-reference criterion**: judging another culture using one's own cultural values. It leads to wrong decisions.
- **Ethnocentrism**: belief that one's own culture is superior. A marketer should avoid it. **Consumer ethnocentrism** is a consumer's belief that buying foreign products is wrong, so domestic brands are preferred.
- **Cultural sensitivity (empathy)**: respecting and understanding differences.

9.3 Steps to Avoid Self-Reference Criterion

1. Define the problem in terms of one's own culture.
2. Define the problem in terms of the foreign culture.
3. Find the differences between the two.
4. Remove the effect of own cultural bias and re-solve the problem for the foreign market.

9.4 Cross-Cultural Consumer Analysis

Marketers ask:

- Are the **needs** for the product similar in both cultures?
- Do the cultures use the product in the **same way**?
- Are **values and customs** compatible with the product?
- What is the **buying and decision process**: who decides and where do they buy?
- What **media and language** reach the consumer?

9.5 Challenges in Cross-Cultural Marketing

- Language barriers and translation errors.
- Different laws on advertising, labelling, pricing.
- Differences in income and infrastructure.
- Resistance to foreign products.
- Hidden cultural meanings in symbols and colours.

10 Social Stratification

Social Stratification

Social stratification is the **division of society into layers (strata) ranked from high to low** according to wealth, power, prestige, occupation and education. The groups formed are called **social classes**.

10.1 Bases of Social Stratification

- **Class (economic)**: wealth and income.
- **Status (social prestige)**: honour and respect from others.
- **Power**: ability to influence decisions (Max Weber's three dimensions).
- Other factors: occupation, education, family background, residence, possessions.

10.2 Systems of Stratification

System	Basis	Nature
Caste	Birth; fixed hereditary position	Closed; very little mobility
Estate	Legal rank and land	Closed in the past (feudal society)
Class	Economic and achieved factors	Open; people can move up or down

10.3 Features of Social Class

- Ranked in a **hierarchy**.
- Members have **similar behaviour, values and lifestyle**.
- Class depends on a **cluster of variables**, not on one.
- People can move: **social mobility** (upward, downward or horizontal).

10.4 Measuring Social Class

- **Subjective method**: people place themselves in a class.
- **Reputational method**: others in the community rank people.
- **Objective method**: measured through variables such as occupation, education and income.
  - *Single-variable index*: one factor, e.g. occupation.
  - *Composite index*: several factors combined (e.g. Index of Status Characteristics; Coleman's Computerised Status Index).
- In India, the **Socio-Economic Classification (SEC)** groups households using the education of the chief wage earner and the household's ownership of consumer durables.

10.5 Class Structure

Class (Warner)	Consumer behaviour
Upper-upper	Inherited wealth; quiet, quality consumption; antiques, art, private clubs
Lower-upper	New wealth; display through large homes, luxury cars, jewellery
Upper-middle	Educated professionals; value education, culture, quality, travel, careers
Lower-middle	Value respectability, savings, security; follow trends; seek value
Upper-lower	Skilled workers; value family and job security; spend on home and family
Lower-lower	Low income; spend for immediate needs; price-sensitive

10.6 Social Class and Consumer Behaviour

- **Spending and saving**: higher classes save and invest more; lower classes spend on current needs.
- **Shopping**: higher classes use malls and online; lower classes use local shops.
- **Media**: different tastes in TV, print and digital channels.
- **Decision-making**: higher classes search more; lower classes depend on family and shopkeepers.
- **Brand choice**: status brands for higher classes; value brands for lower classes.
- **Communication**: language and appeals differ by class.

10.7 Status Consumption

- **Status symbols**: products that show rank (cars, watches, jewellery, addresses).
- **Conspicuous consumption**: buying costly goods to display wealth.
- **Social mobility and aspirational buying**: people buy what the next higher class buys ("trading up").

10.8 Marketing Strategies Based on Social Class

1. **Class segmentation** with separate products and prices.
2. **Positioning** products as status symbols or value-for-money.
3. **Class-specific media, stores and messages.**
4. **Small packs and credit** for lower-income buyers.
5. **Premium and luxury offers** for upper classes.

11 Reference Groups: Role and Types

Reference Group

A reference group is a **real or imaginary person or group** whose perspectives, values and behaviour are used by an individual as a **standard (frame of reference)** for judging and guiding his or her own attitudes and behaviour.

11.1 Role of Reference Groups

1. **Source of information**: provides facts and advice on products and brands.
2. **Standard of comparison**: people compare their lifestyles and possessions with the group's.
3. **Source of norms**: sets rules of acceptable behaviour; people conform to avoid disapproval.
4. **Source of identity and belonging**: helps people express who they are.
5. **Shaping of values and attitudes**: group opinions change individual attitudes.
6. **Influence on product and brand choice**: especially for visible and socially important goods.
7. **Reduction of risk**: advice from trusted groups reduces perceived risk.

11.2 Types of Influence

- **Informational**: accepting advice as evidence.
- **Utilitarian (normative)**: conforming to gain approval or avoid punishment.
- **Value-expressive**: wanting to belong to or be like the group.

11.3 Types of Reference Groups

Type	Meaning	Example
Primary group	Frequent, close, face-to-face contact	Family, close friends
Secondary group	Less frequent, formal contact	Colleagues, clubs, associations
Formal group	Has defined structure and rules	Company, school, union
Informal group	No formal structure; based on friendship	Friends, neighbours
Membership (contactual) group	Person belongs to it	Office team, class
Aspirational group	Person wants to join or imitate it	Sports stars, film stars
Dissociative (avoidance) group	Person wants to stay away from it	A disliked group
Anticipatory aspirational	Group the person expects to join soon	Professional colleagues in a new job
Symbolic aspirational	Group the person admires but will probably never join	Celebrities
Virtual (online) group	Formed on the internet	Social-media communities, review forums, brand communities

11.4 Factors Affecting Reference Group Influence

- **Product visibility**: public products (clothes, phones, cars) are affected more.
- **Luxury vs. necessity**: luxuries are affected more.
- **Group cohesiveness**: the closer the group, the stronger the influence.
- **Individual confidence and need for approval**.
- **Product complexity, risk and lack of knowledge**.
- **Credibility and attractiveness** of the group.

11.5 Applications in Marketing

- **Celebrity and expert endorsement** and **influencer marketing**.
- **Testimonials** and **"people like you" ads**.
- **Brand communities** and **customer clubs**.
- **Online reviews, ratings and user-generated content**.
- **Referral programmes** that reward customers for bringing friends.
- **Group appeals** such as "join millions of happy customers".

12 Family: Role and Structure

Family

A family is a group of two or more people related by **blood, marriage or adoption** who live together. In marketing, the **household** (everyone who shares a home, related or not) is also used as the buying unit.

12.1 Role (Functions) of the Family

1. **Economic well-being**: earning, saving and spending.
2. **Emotional support**: love, security and care.
3. **Socialisation of children**: teaching values, skills and consumer behaviour (**consumer socialisation**).
4. **Providing a suitable lifestyle**: tastes, hobbies, ways of living.
5. **Primary consumption unit**: many products are bought for shared use (home, food, car, appliances).
6. **Reference group**: the strongest primary reference group.

12.2 Structure of the Family

Type	Description
Nuclear family	Parents and unmarried children living together
Joint (extended) family	Parents, married sons or daughters, grandchildren and other relatives living together; common in India
Family of orientation	The family a person is born and raised in; shapes basic values and tastes
Family of procreation	The family formed by marriage and children; direct influence on current buying
Single-parent family	One parent with children
Childless couples (DINKs)	Dual income, no kids; high disposable income
Single-person household	Young professionals, elderly living alone
Blended and other forms	Families formed after remarriage; cohabiting couples; living with friends

12.3 Nuclear vs. Joint Family in Buying

Basis	Nuclear family	Joint family
Decision maker	Husband and wife; sometimes children	Eldest or senior members
Purchase size	Smaller quantities, smaller packs	Bulk and family packs
Brand loyalty	Moderate; open to new brands	Strong, influenced by elders and tradition
Spending power	Quick decisions; more personal choice	Slower decisions; consensus
Products	Personal items, convenience foods, smaller homes	Large vehicles, bigger homes, household stock

12.4 Family Buying Roles

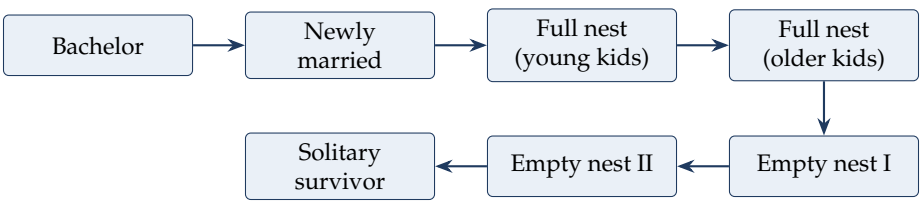
- **Initiator**: first suggests the purchase.
- **Influencer**: gives advice that affects the decision.
- **Gatekeeper**: controls the flow of information.
- **Decider**: makes the final decision.
- **Buyer**: makes the purchase.
- **Preparer**: makes the product ready to use.
- **User**: uses or consumes it.
- **Maintainer**: services or repairs it.
- **Disposer**: throws away, sells or recycles it.

13 Family Life Cycle

Family Life Cycle (FLC)

The family life cycle is a **series of stages that a family passes through over time**, based on the age of the head of the family, marital status and the presence and age of children. Needs, income and spending change at each stage.

13.1 Stages of the Traditional Family Life Cycle



13.2 Stages and Buying Behaviour

Stage	Financial position	Typical purchases
Bachelor (young, single)	Few financial burdens; income used on self	Clothes, fashion, gadgets, entertainment, travel, vehicle
Newly married (no children)	Often two incomes; good financial position	Furniture, appliances, holidays, insurance, home loan
Full nest I (youngest child under six)	Reduced savings; expenses rise	Baby food, medicine, toys, family insurance, larger home
Full nest II (youngest child six or above)	Improved income; wife may work	Education, snacks, sports, bigger packs, family vehicle
Full nest III (older couple with dependent children)	Financial position improves further	Higher education, better furniture, second vehicle
Empty nest I (children left; head working)	High income, many savings	Travel, hobbies, home improvements, health care
Empty nest II (head retired)	Reduced income	Medical care, health products, small comforts
Solitary survivor	Income low; medical needs high	Health care, security, companionship, smaller living space

13.3 Modern Family Life Cycle

The traditional model fits only married couples with children. Modern models include:

- **Delayed marriage and delayed childbirth**.
- **Childless couples** (DINKs).
- **Divorced and single-parent families**; remarriage and blended families.
- **Single-person households** of all ages.

13.4 Importance of FLC to Marketers

- **Segmentation** by life-cycle stage.
- Designing **products and packs** (baby care, family packs, senior care).
- Planning **promotions** suited to stage needs (education loans for parents of school children).
- Predicting **future demand**, as households move to the next stage.

14 Family Purchasing Decisions

14.1 Nature of Family Decision Making

Many purchases are made by the family jointly rather than by one person. The decision is affected by the **needs and tastes of every member**, who may disagree.

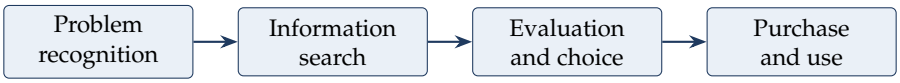
14.2 Decision-Making Patterns

Pattern	Meaning	Typical products
Husband-dominant	The husband decides	Insurance, cars, investments
Wife-dominant	The wife decides	Groceries, kitchenware, children's items, clothes
Autonomic	Each partner decides alone	Personal items, hobby products
Syncratic (joint)	Decided together	Home, vacation, furniture, major appliances

14.3 Factors Affecting Family Decisions

- **Culture and subculture**: gender roles and the power of elders.
- **Social class and education**.
- **Family structure and size**.
- **Working status of wife and income contribution**.
- **Stage in the family life cycle**.
- **Product type and price**: higher price and risk lead to joint decisions.
- **Role specialisation**: each member's expertise in different products.
- **Age and influence of children**.

14.4 Family Decision Stages



At each stage, different members take different roles, and conflict may need to be resolved.

14.5 Conflict and Its Resolution

Conflict arises when members have different goals, tastes or budgets. It is handled by:

- **Problem solving**: sharing information and finding a solution acceptable to all.
- **Persuasion**: convincing others through arguments.
- **Bargaining**: exchanging favours and compromising.
- **Politics**: using power, emotion or authority (the one with more power decides).

14.6 Influence of Children

- Children influence **toys, snacks, cereals, clothes, phones and gadgets**, and even **family holidays and cars**.
- **Pestering ("pester power")** is used by children to get products.
- Children learn consumer skills from parents, friends and media.

- Teenagers often act as the **technology advisers** of the family and research online.

14.7 Marketing Implications

1. Identify **who plays which role** for the product and aim communication at that person.
2. Show **family settings and joint decisions** in ads.
3. Offer **family plans, combo offers and bundles**.
4. Use **information that helps resolve conflict** (comparison charts, trial offers).
5. Follow **ethical rules** for advertising to children.

15 Changing Role of Families

15.1 Major Changes in Family Structure and Roles

Change	Effect on buying
Rise of nuclear families	More independent decisions; smaller packs; more demand for housing and appliances
More working women and dual-income families	More money, less time; demand for convenience food, appliances, childcare, online shopping; women take a bigger part in decisions on cars and finance
Smaller families	Fewer children but more spending per child
Delayed marriage and childbirth	Longer bachelor stage; spending on lifestyle, travel and housing
Single-person and single-parent households	Demand for small homes, ready meals, solo travel
DINKs	High disposable income; luxury, dining, holidays
Change in gender roles	Men shop for groceries and grooming; women buy cars, gadgets and invest
Greater role of children and teenagers	More influence on food, phones, holidays, family technology
Ageing population and senior citizens	Health care, insurance, travel and assisted living
Migration and distance families	Online gifting, video calling, remittance services

15.2 Changing Roles in the Indian Family

- Breakdown of the **joint family** in cities, but strong emotional ties remain.
- Greater **economic independence of women** and shared decision-making.
- **Parents spend heavily** on children's education and lifestyle.
- **Youth** gain decision power and spending power early.
- **Elders** depend more on digital services and on their children for technology.

15.3 Marketing Response

1. **Redefine target segments**: not only "married couple with children".
2. Develop **convenience-oriented** products and services.
3. Adopt **inclusive advertising** showing different types of families.
4. Provide **digital and home-delivery services**.
5. Create **products for single-person households and senior citizens**.

16 Personal Influence

Personal Influence

Personal influence is the **effect of one person's opinion, advice or behaviour on the attitudes and buying decisions of others**, through direct contact or communication. It is usually trusted more than commercial advertising.

16.1 Sources of Personal Influence

- **Family members, friends and neighbours**.
- **Colleagues and peers**.
- **Opinion leaders** and **experts**.
- **Salespeople** and **shopkeepers**.
- **Online influencers** and **other customers** through reviews.

16.2 Opinion Leadership

Opinion Leader

An opinion leader is a person who **informally influences the attitudes or behaviour** of others, because of knowledge, expertise, credibility or social position.

Characteristics of opinion leaders

- More **knowledge and interest** in the product category.
- Greater **exposure to media** and information.
- More **innovative**, confident and socially active.
- **Similar** to their followers in values and background.
- Influence is **category-specific** (a person may lead in fashion but follow in electronics).

Types of opinion leaders: *monomorphic* (leader in one area) and *polymorphic* (leader in many areas). **Opinion seekers** look for advice. **Market mavens** know about many products and share information widely.

16.3 Flow of Influence

- **Two-step flow**: media messages reach opinion leaders first, and they pass them on to followers.
- **Multi-step flow**: information moves in many directions between media, leaders and followers; leaders themselves also seek advice.

16.4 Word of Mouth (WOM)

Informal sharing of experiences and opinions about products between consumers.

- **Advantages**: trusted, free, fast, personal.
- **Disadvantage**: negative WOM spreads faster and farther than positive WOM.
- **Electronic WOM (eWOM)**: online reviews, ratings, social media posts, videos.
- **Buzz and viral marketing**: marketers encourage sharing through content that is entertaining or useful.

16.5 Diffusion of Innovations (Rogers)

New products spread through a society in stages. Adopters are grouped by the time they adopt:

Category	Share	Description
Innovators	2.5%	Venturesome; first to try; risk-takers
Early adopters	13.5%	Opinion leaders; respected; adopt early
Early majority	34%	Deliberate; adopt before the average person
Late majority	34%	Sceptical; adopt after most others
Laggards	16%	Traditional; last to adopt

Product features that speed adoption: relative advantage, compatibility with values, low complexity, trialability and observability.

16.6 Marketing Strategies Using Personal Influence

1. **Identify and target opinion leaders**: give them free samples, early access and information.
2. **Influencer and celebrity marketing**.
3. **Encourage reviews and ratings**; reply to feedback.
4. **Referral programmes**: reward customers who refer others.
5. **Testimonials and case stories** from real customers.
6. **Train salespeople** and shop staff, since their advice influences the final choice.
7. **Handle complaints quickly** to limit negative word of mouth.

Exam Tip

Remember: **Personal influence** = **Opinion leaders** + **Word of mouth** + **Diffusion**. Mention the **two-step flow** and the **adopter categories** for a full-mark answer.

17 Quick Revision Summary

Topic	One-line recall
Social and cultural environment	Groups, institutions, customs and values that surround the consumer
Economic environment	Income, inflation, credit, confidence, business cycle; Engel's law
Demographic environment	Age, gender, family size, income, education, location, generations
Cross-cultural influences	Compare cultures: Hofstede, Hall; standardise, adapt or glocalise
Cultural relevance	Culture affects product, price, place and promotion
Characteristics of culture	Learned, shared, cumulative, dynamic, prescriptive, symbolic
Cultural values	Other-oriented, environment-oriented, self-oriented values
Cultural change	Caused by technology, economy, education, contact; marketers must scan trends
Cross-cultural understanding	Avoid self-reference criterion and ethnocentrism; research and test locally
Social stratification	Ranked social classes; caste vs. class; measure by occupation, income, education
Reference groups	Source of information, norms and identity; many types
Family: role and structure	Economic, emotional and socialising role; nuclear, joint, other forms
Family life cycle	Eight stages from bachelor to solitary survivor
Family decisions	Husband-dominant, wife-dominant, autonomic, syncratic; conflict resolution
Changing family roles	More nuclear, dual-income, single and senior households
Personal influence	Opinion leaders, word of mouth, two-step flow, diffusion of innovations